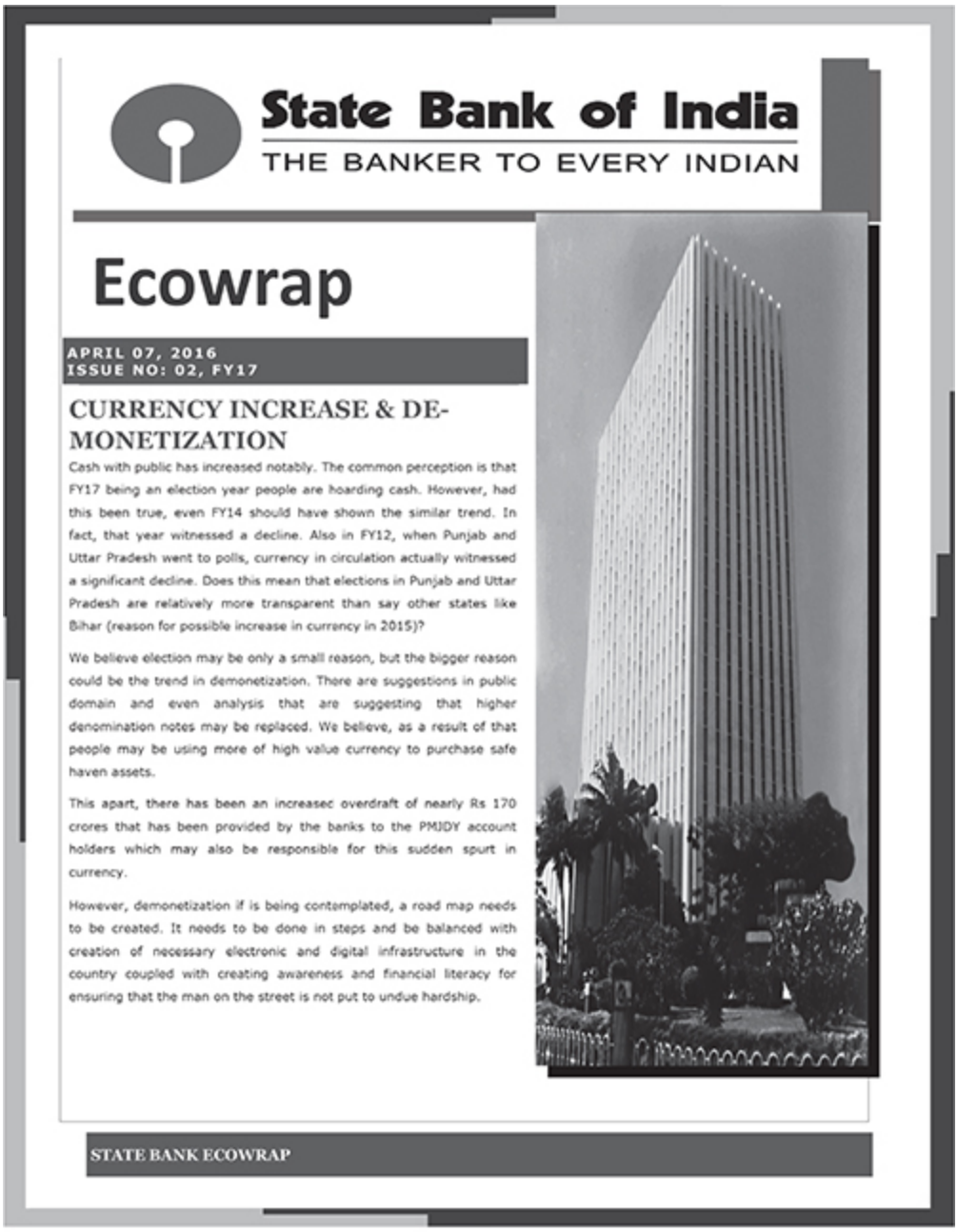


State Bank of India

THE BANKER TO EVERY INDIAN

Ecowrap

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CURRENCY INCREASE & DE-MONETIZATION

Cash with public has increased notably. The common perception is that FY17 being an election year people are hoarding cash. However, had this been true, even FY14 should have shown the similar trend. In fact, that year witnessed a decline. Also in FY12, when Punjab and Uttar Pradesh went to polls, currency in circulation actually witnessed a significant decline. Does this mean that elections in Punjab and Uttar Pradesh are relatively more transparent than say other states like Bihar (reason for possible increase in currency in 2015)?

We believe election may be only a small reason, but the bigger reason could be the trend in demonetization. There are suggestions in public domain and even analysis that are suggesting that higher denomination notes may be replaced. We believe, as a result of that people may be using more of high value currency to purchase safe haven assets.

This apart, there has been an increasec overdraft of nearly Rs 170 crores that has been provided by the banks to the PMJDY account holders which may also be responsible for this sudden spurt in currency.

However, demonetization if is being contemplated, a road map needs to be created. It needs to be done in steps and be balanced with creation of necessary electronic and digital infrastructure in the country coupled with creating awareness and financial literacy for ensuring that the man on the street is not put to undue hardship.

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Source: SBI website (https://www.sbi.co.in)